

Long-term share owners—not the insiders cashing out—derive much less value than the name “shareholder value” implies.

Homo Economicus

A key principle underlying classical economics states that people are rational, self-interested actors possessing an ability to make objective, intelligent judgments about money. *This is frequently wrong, and occasionally hilariously so.*

We are all too often irrational, emotional creatures who regularly engage in behaviors that work against our self-interest. We evolved to adapt on the savanna, not make smart decisions in the midst of a market sell-off. *Homo Economicus? More like Economicus Neanderthal...*

Economics as a science

Economists sure seem to get a lot wrong: They misunderstood the risks of derivatives (mostly because they failed to recognize it was an unreserved insurance product). Heading into the financial crisis, their models stated home prices never fall(!). They missed the worst recession since the Great Depression even as we were in the middle of it. They misunderstood why the recovery from the GFC was so weak. In the 2020s, they misunderstood the inflation surge and subsequent collapse.

All this before we even get to their lack of forecasting acumen.

Markets self-regulate

Another example of an idea that started out reasonably enough but soon after went off the rails. After 30 years of post-war economic growth, there was a credible argument that government regulations had become too costly, time-consuming, and complex. With inefficiencies holding back small businesses, paring the worst of the regulatory burden should prove productive.